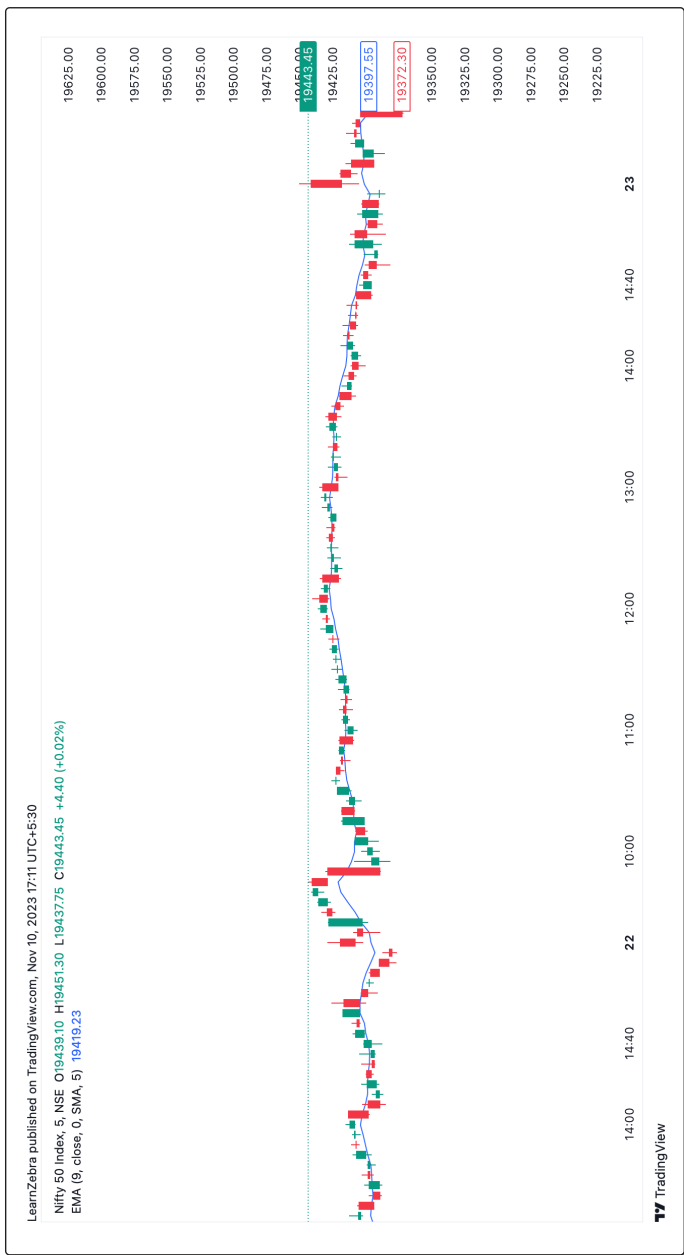


Let us look at another example now.



Here you can see that the second candle touched the moving average. However, we will still look for trades as the 1st hour of the market is not over.

This setup generated another scalping opportunity when the Nifty 50 took support from the EMA and made another Evening Star pattern. Notice how the candle is not touching the moving average.

In this case, I will short the market once the low of the Doji is violated and aim for a 1:3 risk to reward ratio.